

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02311

Report ID:	AR-02311
Audit Type:	Financial Transaction Audit
Report Date:	January 21, 2024
Audit Period:	2023-05-14 to 2024-01-03
Lead Auditor:	Paul Stevens (EMP-34126)
Reviewed By:	Lance Ramirez (EMP-53830)
Primary Vendor Reference:	VertiLink Distributors Ltd (VND-04255)
Subject Employee Reference:	George Braun (EMP-63414)
Primary Transaction Reference:	TXN-C1149993098
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2023-05-14 to 2024-01-03 and examined transactions, approvals, and compliance records associated with vendor VertiLink Distributors Ltd (VND-04255) and employee George Braun (EMP-63414). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1149993098 (amount 3,895.57 AUD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-002021	LOW	MISSING RECEIPT	Reimbursement of \$275,638 for Office Supplies was approved despite no receipt documentation in the system.
FND-002589	LOW	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$472,357 was approved at L2 without L3 countersignature.

Finding ID	Severity	Category	Description
FND-003177	CRITICAL	VENDOR RISK	BLACKLISTED vendor VND-VND-00734 received payment of \$23,321 via contract CON-105261 that was not updated following blacklisting.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000002	DNS LOG	EVD-SHV-5824	0.91
EVI-000038	TRANSACTION RECORD	EVD-MYJ-8056	0.56
EVI-003114	AUDIT REPORT	EVD-QKU-6457	0.82
EVI-004740	CONTRACT RECORD	EVD-OGN-2473	0.95
EVI-012096	HR RECORD	EVD-BNX-3459	0.99
EVI-014058	EXPENSE CLAIM	EVD-WAE-3966	0.65

5. RECOMMENDATIONS

- Strengthen segregation of duties between transaction initiation and approval functions.
- Require compliance certificate verification as a system gate prior to payment release.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Paul Stevens	EMP-34126	2024-01-21
Reviewing Officer	Lance Ramirez	EMP-53830	2024-01-23